

in an obscure section on “Special Types of Obligations” (Chap. 10) that describes railroad equipment certificates, bonds secured by title to locomotives, freight, or passenger cars, and by the pledge of the lease under which the railroad is using the equipment. According to our exacting authors, “the investment record of these equipment obligations is very satisfactory, particularly because until recently even the most serious financial difficulties of the issuing road have very rarely prevented the prompt payment of interest and principal.” (Chap. 10) They continue, “the holder of the equipment lien can threaten to take the rolling stock away. It is the possession of this *alternative* which in practice has proved of prime value to the owner of equipment trusts.” (Chap. 10) Little did Graham and Dodd know that decades later, bankers would ingeniously use this basic structure to finance commercial aircraft. They enhanced it by making EETC bonds (Enhanced Equipment Trust Certificates) bankruptcy-remote, tranching in senior and junior layers, and strengthening by a liquidity facility that enabled interest payments even if the airline went bankrupt. Thus EETC bonds were safer than regular airline corporate bonds, rated higher by rating agencies, and purchased by investment grade investors. Northwest Airlines was the first to issue an EETC in 1994. Gaining widespread acceptance, issuance ballooned to \$15 billion as we entered 2001, and promised continued exponential growth. These were bulletproof bonds “which could suffer default only under exceptional and highly improbable circumstances.” (Chap. 4)

Unfortunately, the exceptional and improbable and tragic did happen. After the terror attacks of September 11, 2001, EETCs plunged in price. The next day, I was tapped to cover the sector.

The entire U.S. airline industry teetered on insolvency. Carriers were promptly downgraded, and all but one filed for bankruptcy within five years. Aircraft prices cratered. We were in uncharted territory, with a new financial instrument that was still untried in a